effects of the lessening infusions of liquidity, which ultimately drives the markets.

Debt/Credit Trends

Now let's examine Figures 14-6 through 14-12, which reflect trends in the *cause* of inflation and deflation in a debt-based (as opposed to currency-based) economy: trends in the creation of credit, and its inverse, the assumption of debt, which are at root psychological phenomena. The first four graphs reveal that the aggregate trends shown in the last three graphs are not due to one sector of debt growth but are revealed by all sorts of measures of consumer and commercial debt. These figures present the composite picture of the great financial and economic tidal wave that began cresting in the 1986 to 1990 period and speak eloquently of the magnitude of the change in trend of (and attitude toward) debt that has taken place since.

The real estate decline, the junk bond collapse, the sluggish economy, meandering aggregate investment market prices, and all the rest are in great part simply manifestations of the underlying change in trend *from the expansion of debt/credit to its unwinding*. The change in attitude toward debt has progressed so far that it is on the verge of forcing a change from disinflation to deflation that will ultimately impact all markets, all prices, all debtors, and ultimately all creditors as well.

The Message From the Indicators

The charts discussed in this chapter and others show that over the past thirteen years, the rate of money supply growth has steadily fallen to zero, the rate of price increases for goods has slowed to near zero, the upside rates of change in the aggregate investment markets have fallen to near zero, and the rate of debt increase and the level of debt service peaked in 1986-1990. Total debt is still expanding, but at an ever-slower rate.

The charts of the money supply, goods prices, investment markets and debt/credit trends together convey a message about the reflation that began in 1982: it is becoming exhausted. The stock market's reaction to a temporary *deflation* in 1987, moreover, was the *most violent yet*. The economy's reaction in 1990-1991 was the *most severe yet*. While each new inflationary push has been weaker and weaker, these responses indicate that each new deflationary setback has been wielding increasing destructive power. In the past